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Investor Presentation | Asia Pacific

Asia Summer School: Korea Renaissance: Structural Positives vs. Technical Obstacles

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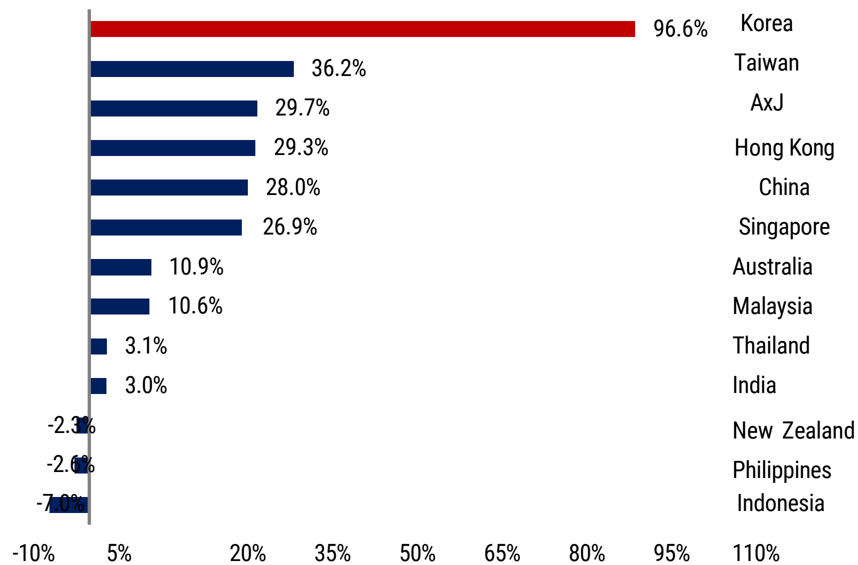
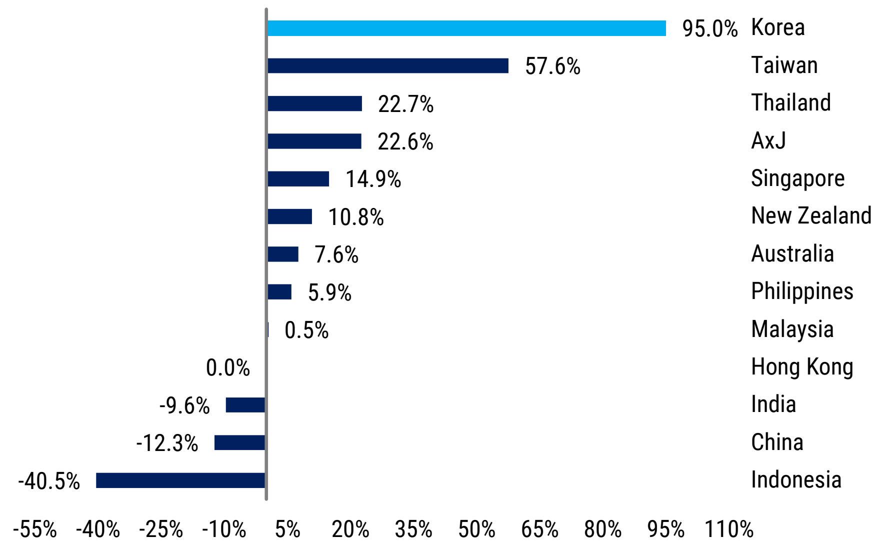
South Korea
Summer
School 2026

Where Korea Stands
Korea Continues to Outperform Peers

Asian Markets' Performance: 2025 (USD basis)



Asian Markets' Performance: 2026YTD (USD basis)

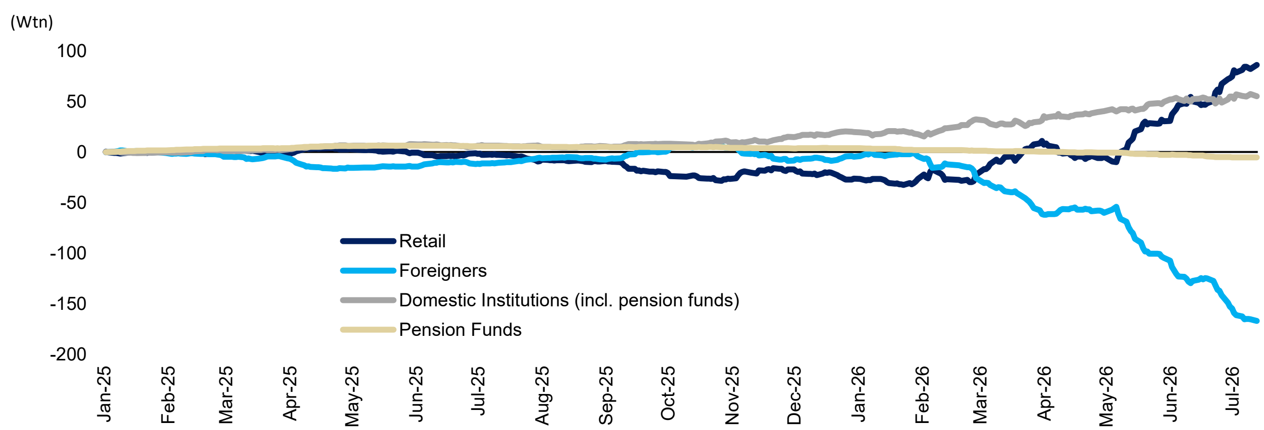


Source: Datastream, MSCI, Morgan Stanley Research. Note: Data as of July 10, 2026. Past performance is no guarantee of future results.

Where Korea Stands

A Strong Push Up Driven by Expectations on Structural Elements

KOSPI: Sector price performance and 2026 YTD fund flows											
(%, Wbn)	KOSPI	IT	Materials	Industrials	Energy	Cons.Disc.	Financials	Healthcare	Comm.svcs.	Cons.Stp.	Utilities
Index wght	100%	64%	2%	12%	2%	6%	8%	3%	2%	1%	1%
2026 YTD Perf.	77.4%	169.4%	-8.8%	31.9%	60.2%	27.5%	34.8%	-15.3%	-13.1%	6.4%	-17.3%
2025 Perf.	75.6%	142.7%	26.5%	106.1%	46.1%	35.3%	53.6%	21.1%	20.5%	21.8%	87.6%
Foreigners Net Buying	-160,641	-146,539	1,513	1,550	1,747	-13,272	-3,340	1,790	-1,247	526	-451
Domestic Retail Net Buying	108,533	100,948	-1,597	-2,652	-1,849	11,305	-803	-836	1,481	-516	1,062
Domestic Institution Net Buying	37,593	30,636	-495	3,153	712	791	4,330	-1,202	-445	-21	-568
Pension Funds Net Buying	-8,935	-4,076	-138	-2,032	377	43	-1,374	-974	-398	-137	-362

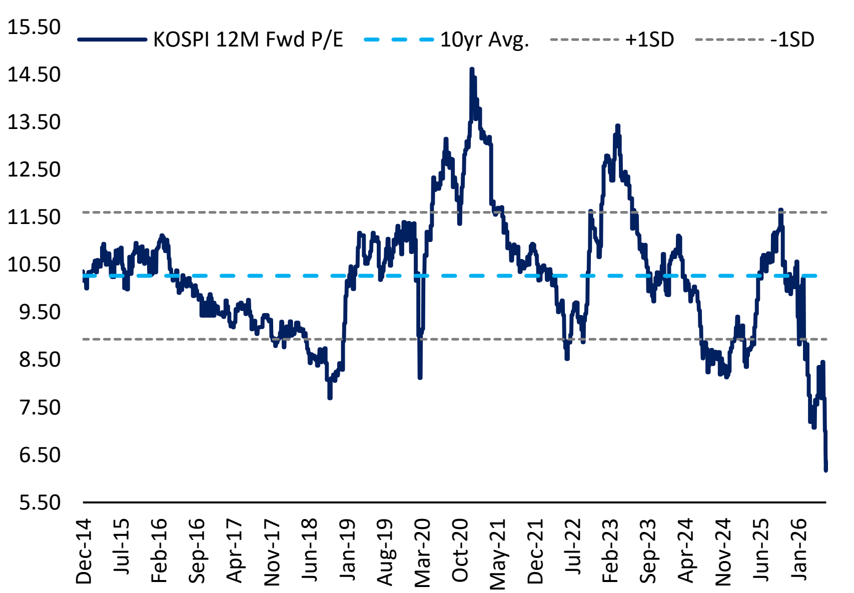


Source: WiseFN, Morgan Stanley Research. Note: Data as of July 10, 2026.

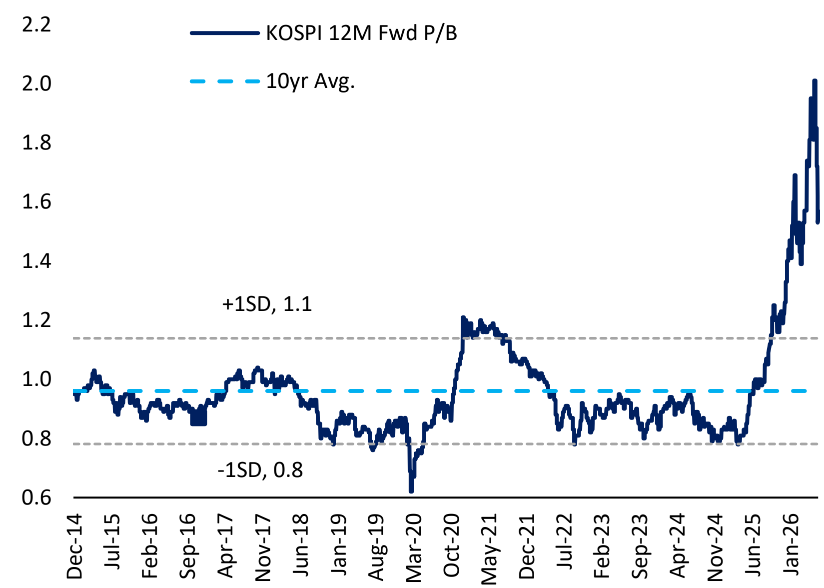
Where Korea Stands

Valuations Back Down for P/E but Still High for P/B

KOSPI 12m Fwd P/E



KOSPI 12m Fwd P/B

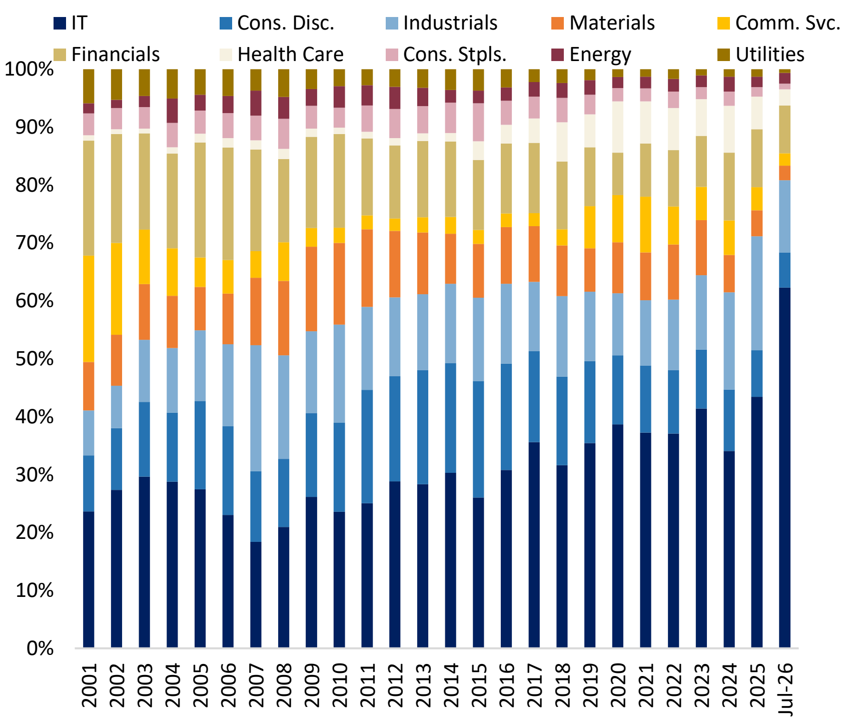


Source: Factset, Morgan Stanley Research, Data as of July 10, 2026

Where Korea Stands

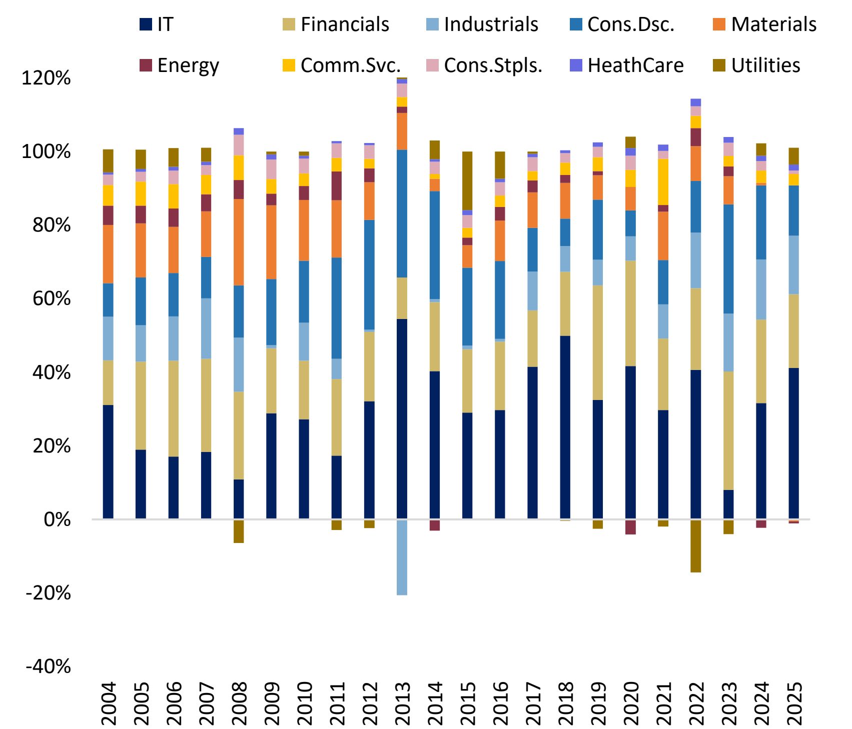
Sector Composition Even More Tilted to IT

KOSPI Sectors: Proportion by Market Cap



Source: WiseFN, Bloomberg, Morgan Stanley Research.

KOSPI Sectors: Proportion by Annual Net Profit



Source: WiseFN, Bloomberg, Morgan Stanley Research.

Where Korea Stands

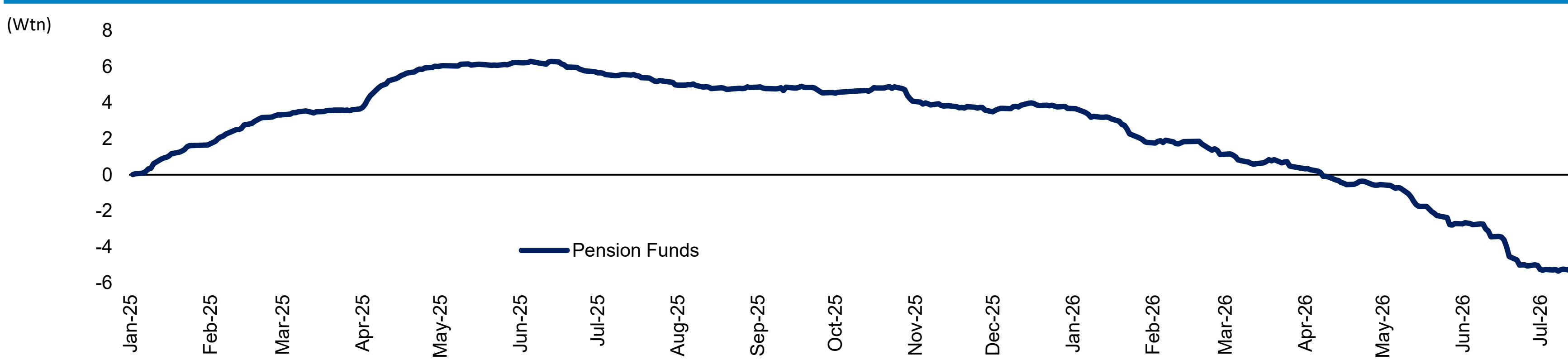
National Pension Rebalancing Should be Manageable

NPS Asset Allocation Plan

Total (financial investment only)		Actual (Apr 2026)	New			
			end-26 target	end-27 target	SAA buffer	5yr fwd target (end-31)
Equity	**Domestic**	**25.1%**	**20.8%**	**20.8%**	To be updated by end-26 (will not be disclosed)	55%
	Overseas	**36.2%**	34.7%	35.6%		
Bonds (incl. short-term instruments)	Domestic	**24.0%**	23.1%	21.8%		30%
	Overseas		7.4%	7.4%		
Alternative Investments		**14.7%**	14.0%	14.3%		15%

Source: National Pension Service, Morgan Stanley Research.

KOSPI: Domestic Pension Flow Trends (Since 2025)

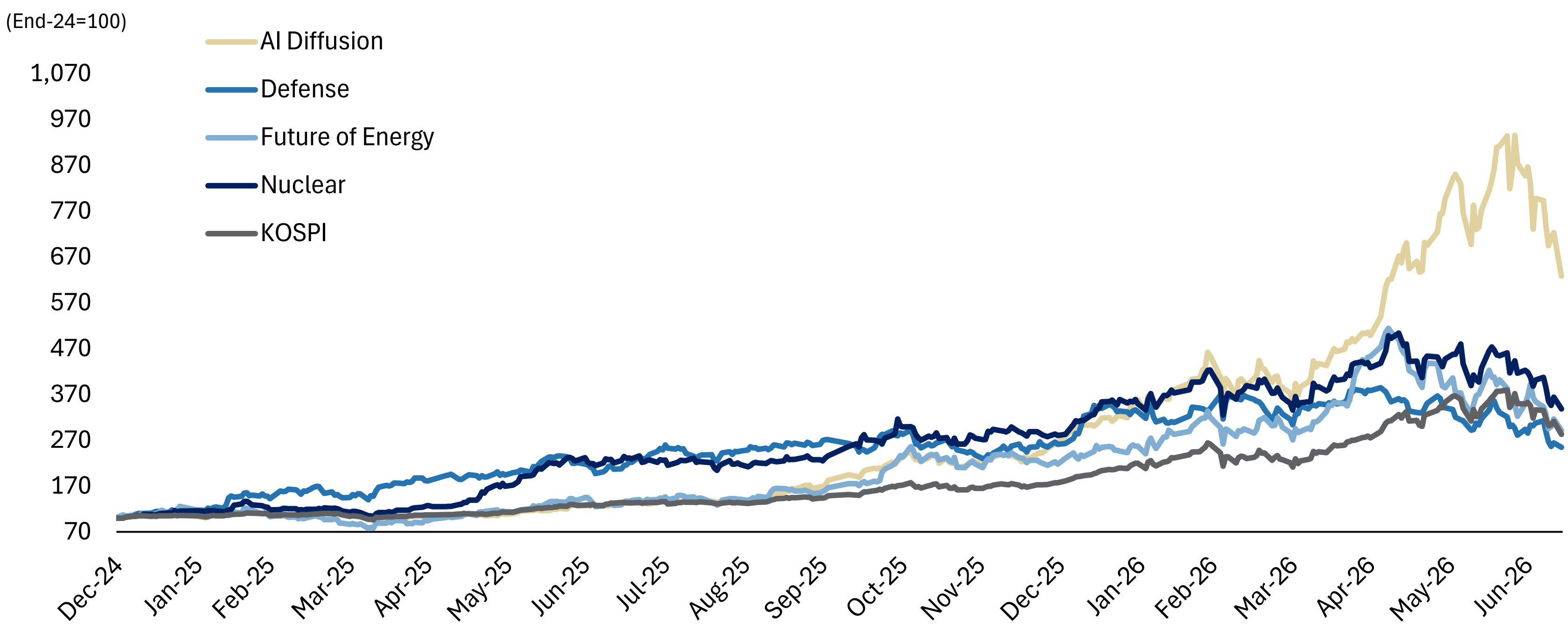


Source: KRX, Morgan Stanley research, Data as of July 13, 2026

Structural Growth Stories

Opportunities Exist

Share Price Performance for Super-cycle Stocks Sub-sectors (since end-24)

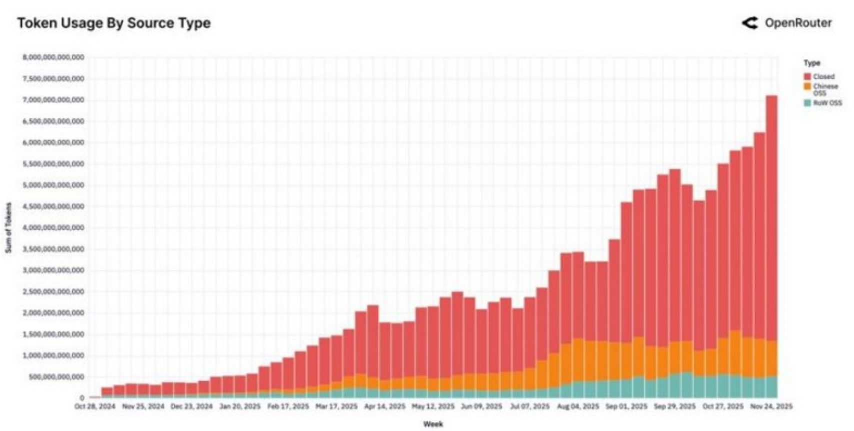


Source: WiseFN, Morgan Stanley Research. Past performance is no guarantee of future results.

Structural Growth Stories: AI Tech Diffusion

Demand for Compute Continues to Rise

Demand for Compute Continues to Rise at a Non-linear Rate Boosting Infrastructure Requirements

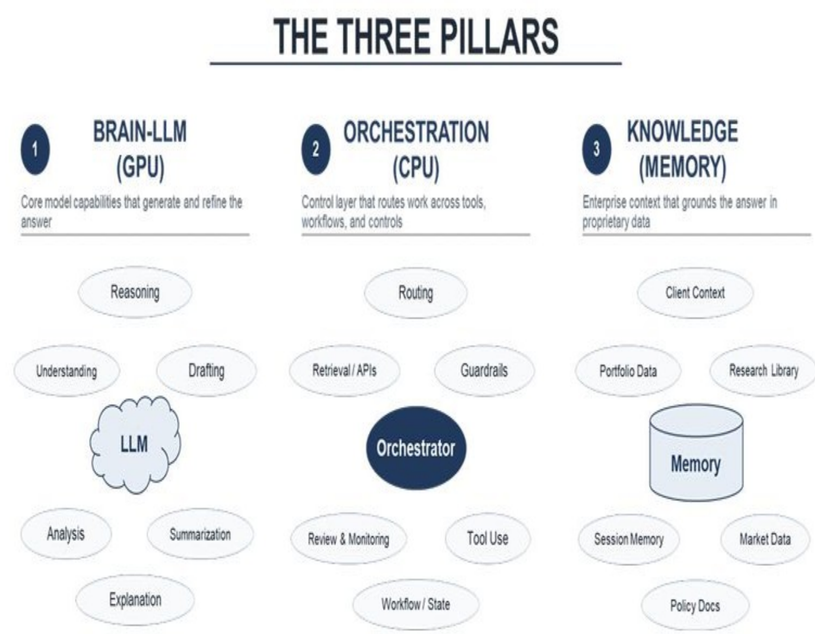


Why we believe that the demand for compute is likely to significantly exceed supply:

- Google exec forecast compute needs are ~3x the Morgan Stanley projected compute CAGR for NVIDIA.
- In one year, weekly token usage has increased by ~2,200% and average AI task complexity is increasing at a non-linear rate.

Source: OpenRouter. Note: Weekly token volume by model type. Stacked bar chart showing total token usage by model category over time. Dark red corresponds to proprietary models (Closed), orange represents Chinese open source models (Chinese OSS), and teal indicates open source models developed outside China (RoW OSS). The chart highlights a gradual increase in OSS token share through 2025, particularly among Chinese OSS models beginning in midyear. For more details, please find the report here.

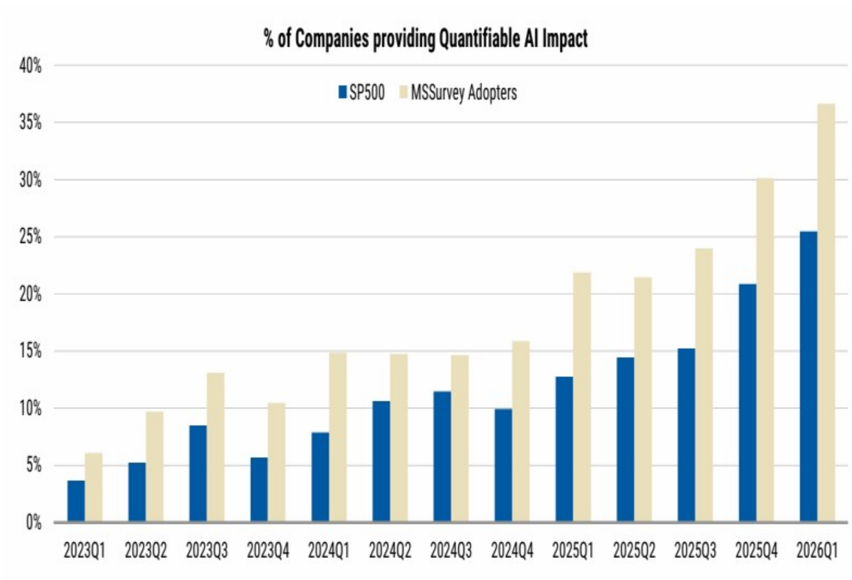
Rising Memory Prices Are Adding Cost Pressures to Hardware OEMs



Source: Morgan Stanley Research. For more details, please find the report here.

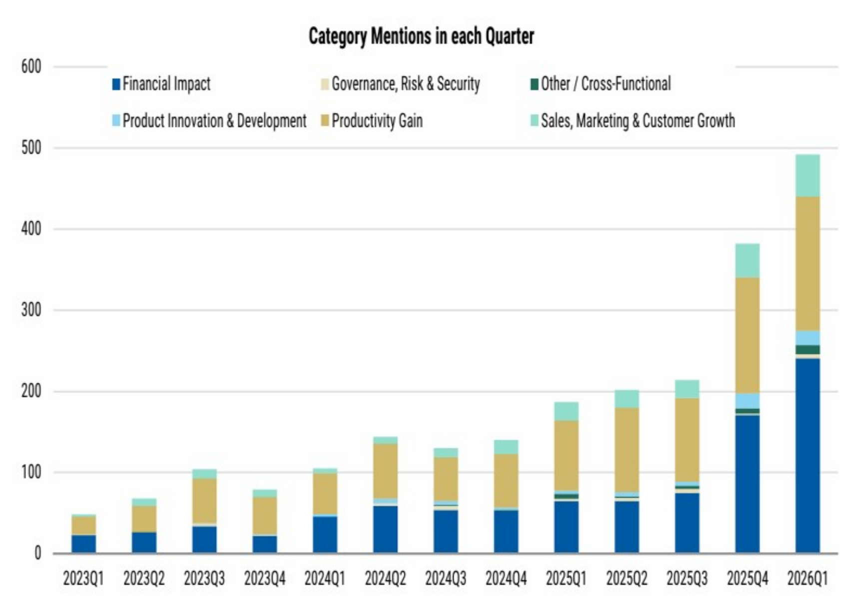
Structural Growth Stories: AI Tech Diffusion
How Are Companies in Different Sectors Adopting AI?

Companies Are Seeing Quantifiable Benefits from AI Adoption



Source: Morgan Stanley Research, Morgan Stanley Research. Please note, companies mentioning multiple quantifiable benefits from AI are only counted once in this chart. For more details, please find report here

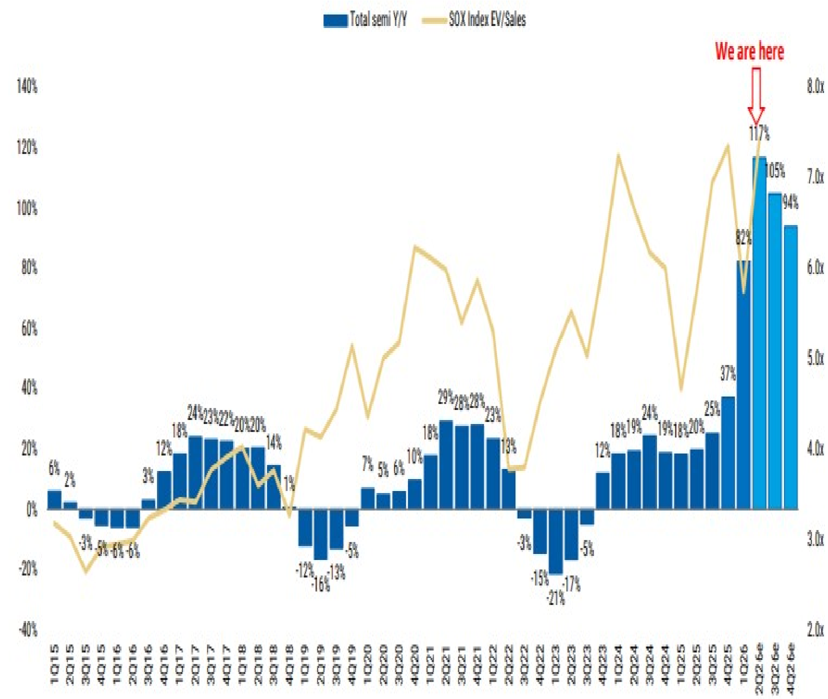
The Majority of Quantifiable Benefits Are Tied to “Financial Impact” and “Productivity Gain”



Source: Morgan Stanley Research, For more details, please find report here

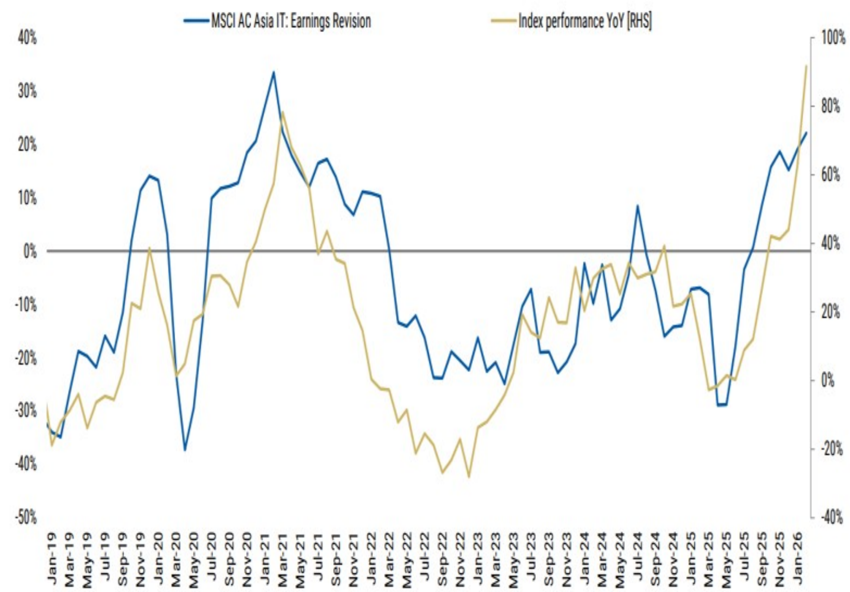
Structural Growth Stories: AI Tech Diffusion
Where Are We in the Cycle?

SOX Index Valuation vs. Global Semiconductor Revenue YoY %



Source: SIA, FactSet, Morgan Stanley Research (e) estimates.

Earnings Strength Still the Main Driver



Source: FactSet, Morgan Stanley Research.

Structural Growth Stories: Super-cycles Converging for Industrials

Opportunities Exist From Various Industrial Sub-sectors

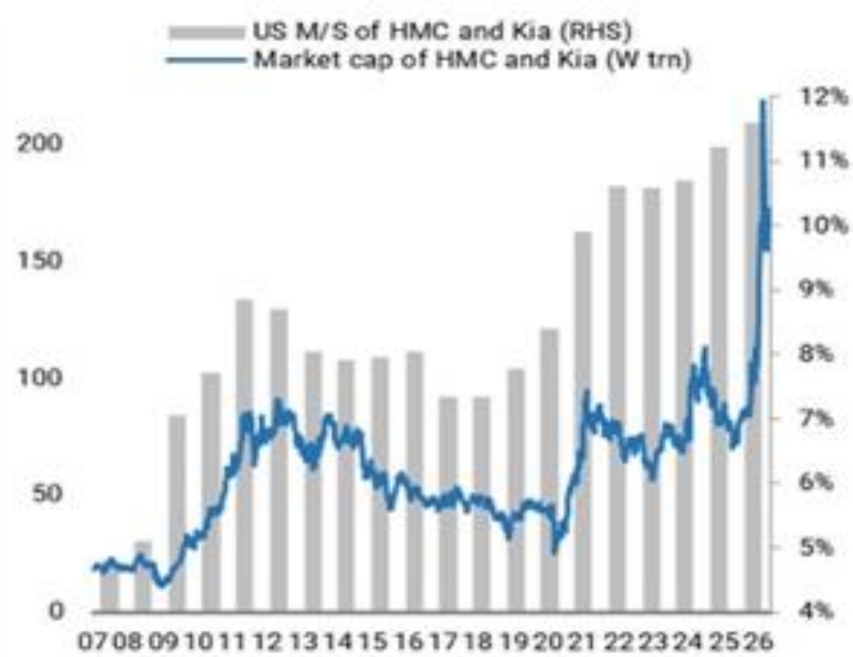
S.Korea: Industrials Key Sub-sector

Sub-sectors	Remarks
Power generation	Korea's power generation and grid ecosystem is entering a new phase, shaped by both domestic urgency to meet growing demand for power and overseas opportunities. Korean power equipment makers are now leveraging cost competitiveness and proven technology to win large-scale tenders in the US, Middle East and Europe, where grid modernization and renewable integration are accelerating. For the fitting side, we believe rising demand for LNG export terminals should lead to rising demand for fitting products. This, along with limited supplier dynamics, should bode well for KR fitting players' rev/earnings growth outlook into 2026.
Nuclear power	Nuclear energy is undergoing a structural re-rating as nuclear power remains irreplaceable as a sustainable, dispatchable source of baseload power given the expected increase in electricity demand from AI data centers going forward. Furthermore, recent acceleration in private-led deployment of SMRs (Small Modular Reactors) is likely to provide additional growth opportunities for Korean players given their strategic partnerships with multiple SMR developers such as NuScale, TerraPower, etc.
Defense	Heightened geopolitical tensions following the US-Iran conflict have renewed investor interest in defense stocks especially air defense side, but need to be selective. 2026 new order pipeline looks favorable for land systems and aerospace with naval vessel orders being the swing factor as order sizes if won should be sizable.
Overseas EPC players	While the domestic construction industry is suffering, there continues to be opportunities for Korean contractors overseas. Traditional hydrocarbon and infrastructure projects remain a mainstay but there are increasing opportunities in the energy transition and also nuclear power EPC space going forward.
Shipyards	Valuations are significantly higher than historical levels. Investors seem to be leaning more to 2nd LNG order cycle but still some questions on the defense story. There are some sizable bids currently out there such as the Canada submarine project, which Korean shipyards are bidding for.

Source: Morgan Stanley Research

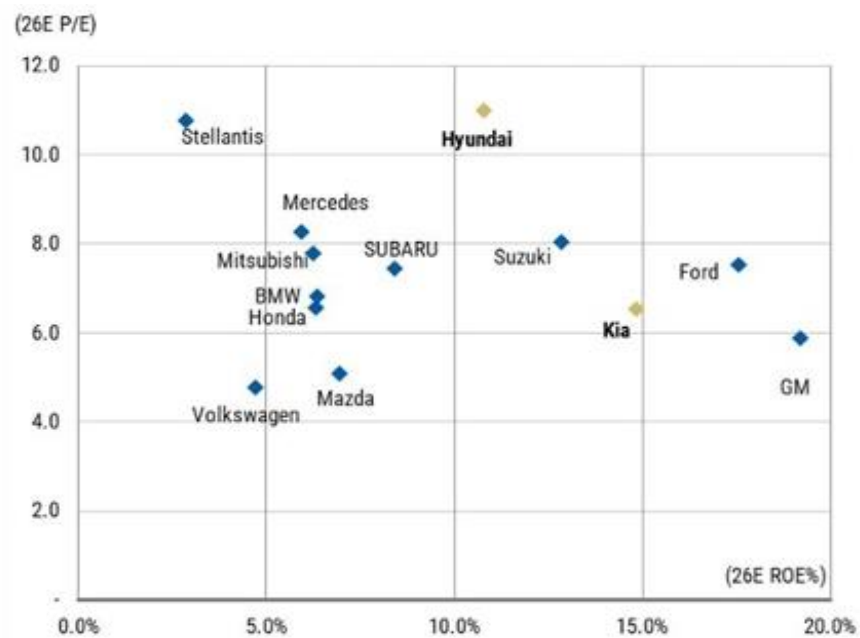
Structural Growth Stories: Auto Sector
Time for Execution and Robotics

HMC/Kia: US Market Share vs. Combined Market Cap



Source: Motor Intelligence, Company data, WiseFN, Morgan Stanley Research

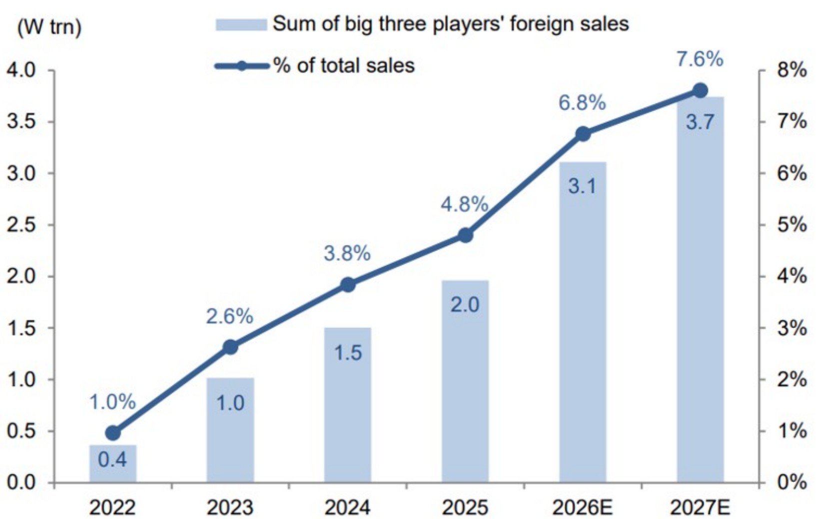
Global Autos: 2026e P/E vs. ROE



Source: Morgan Stanley Research (e) estimates

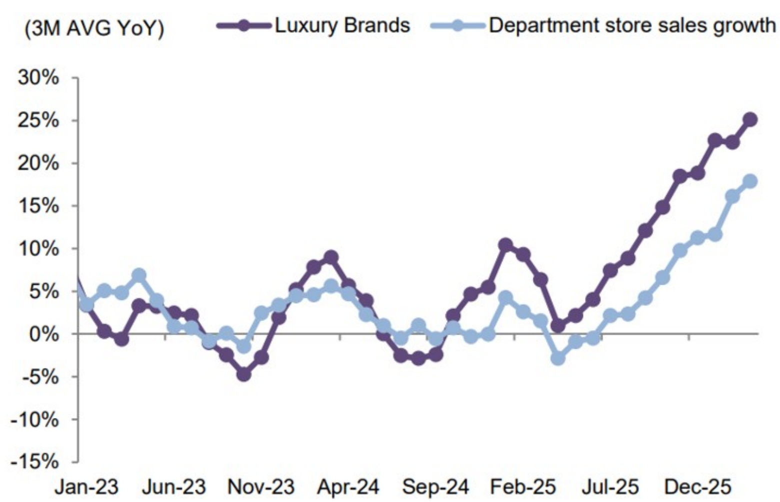
Structural Growth Stories: Luxury Consumption
Balanced Domestic Demand Growth Skewed to Luxury + Inbound Travel

Department Store Foreign Spending



Source: Company Data, Morgan Stanley Research. E = Morgan Stanley Research estimates. For more details, please find the report here

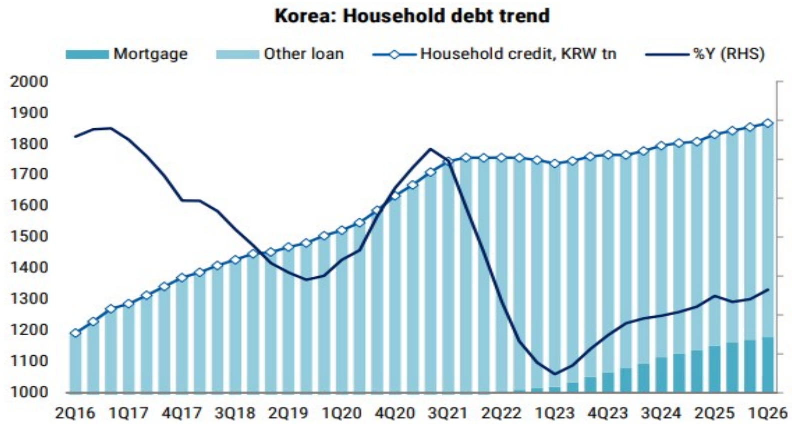
Luxury Sales Growth at Department Stores



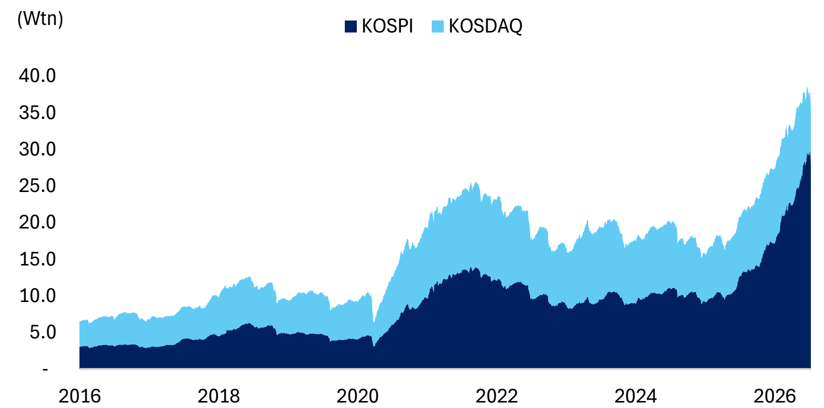
Source: MoTIR, Morgan Stanley Research, For more details, please find the report here

Will Retail Investors Stick to Equities?
Increased Liquidity But Also Volatility

Households' Sensitivity to Rising Interest Rates Adds Pressure



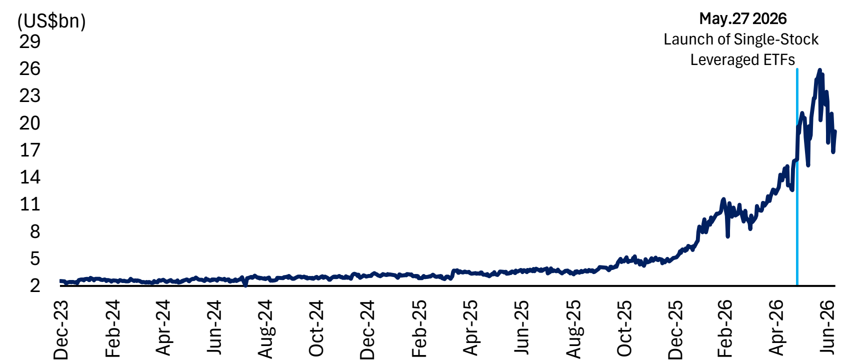
KOSPI+KOSDAQ Margin Loan Balance



Retail Investors Taking Out Unsecured Loans to Invest in Equities

Source: KOFIA, WiseFN, Morgan Stanley Research

Leveraged Domestic Equity ETF AUM Trend

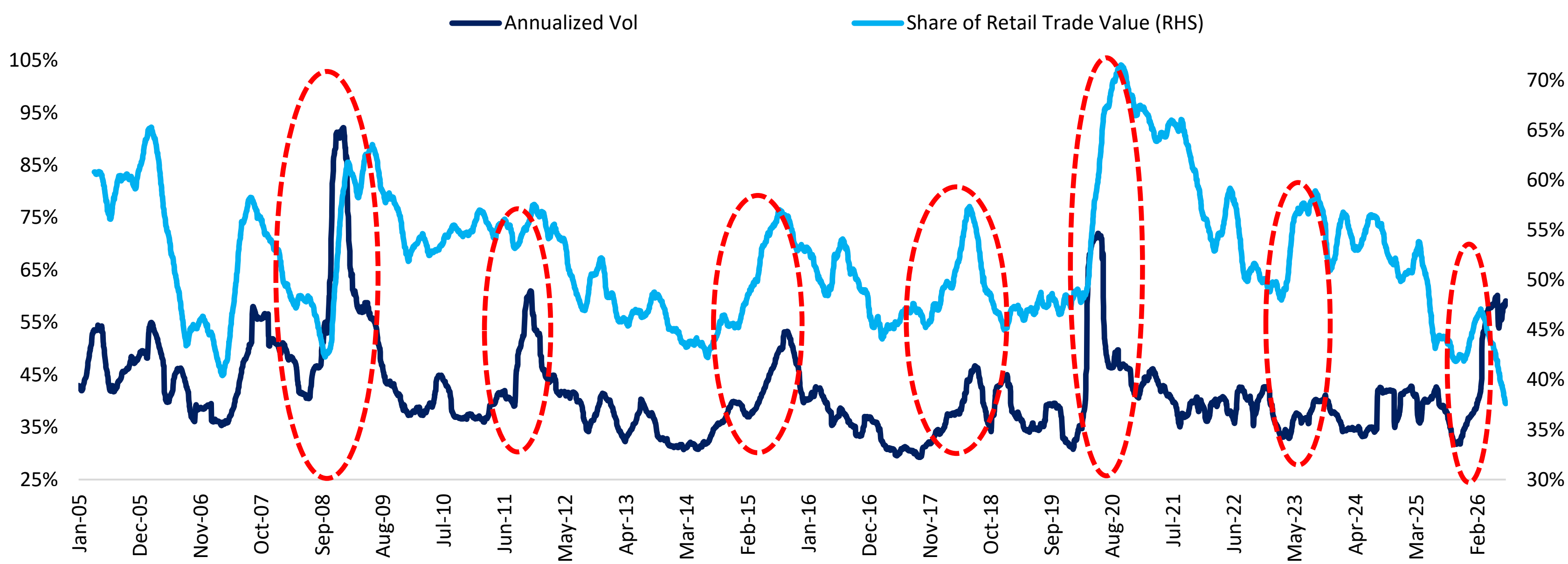


Source: BoK, KOFIA, Morgan Stanley Research

Will Retail Investors Stick to Equities?

Retail Investors Still Like Volatility and Thematics But Somewhat More Mature

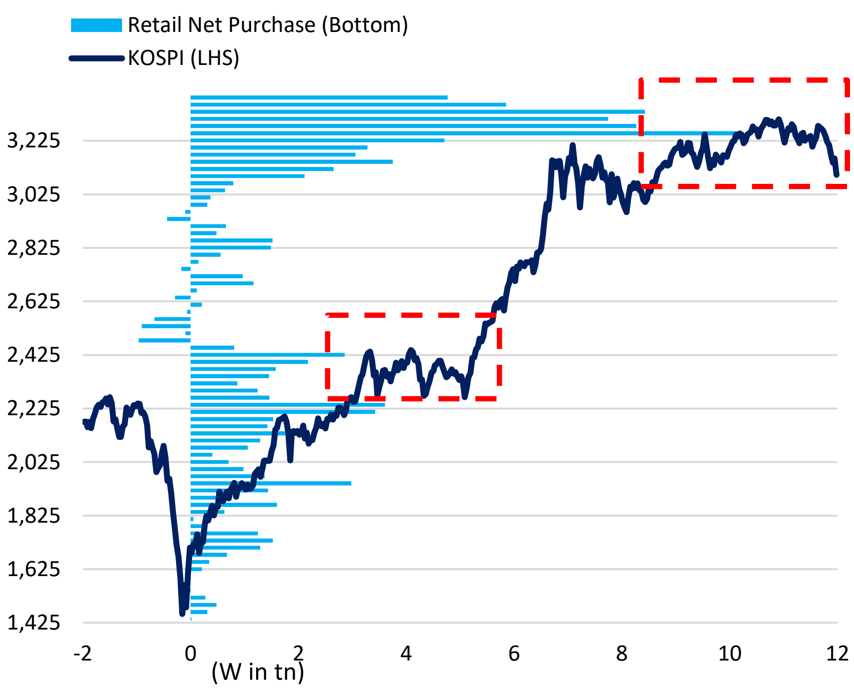
KOSPI: Annualized Volatility and Share of Retail Trade Value



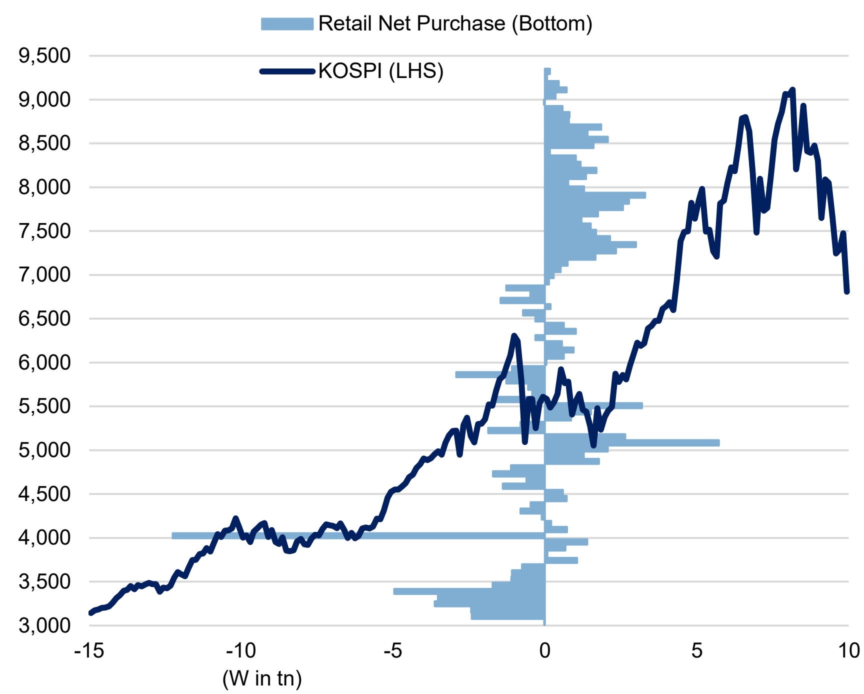
Source: WiseFN, Morgan Stanley Research

Will Retail Investors Stick to Equities?
Retail Investors' Positioning Is Less Concentrated in Current Cycle

KOSPI Price Trend versus Retail Net Flows by Price Intervals (2020~2021)



KOSPI Price Trend versus Retail Net Flows by Price Intervals (1H25~Current)

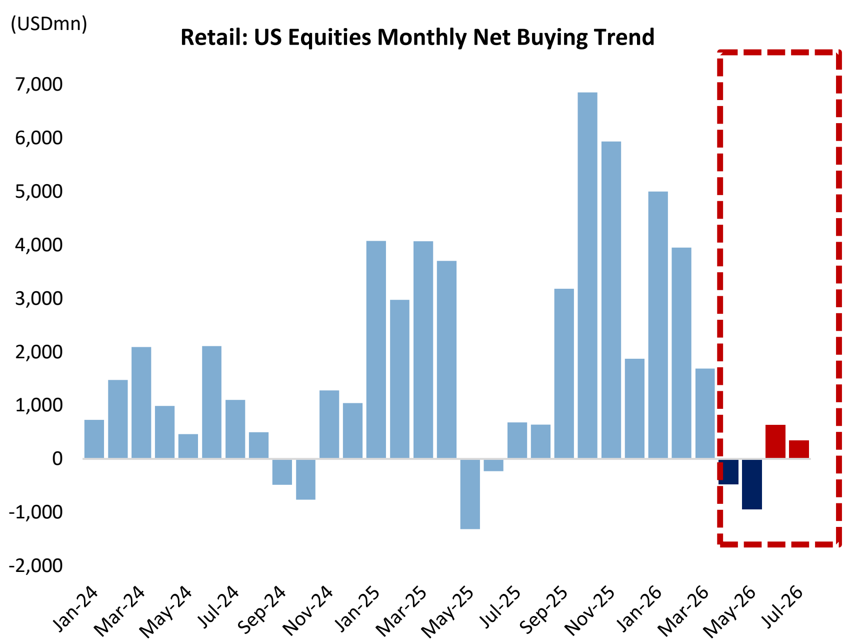


Source: WiseFN, Morgan Stanley Research, Data as of Jul 13, 2026

Will Retail Investors Stick to Equities?

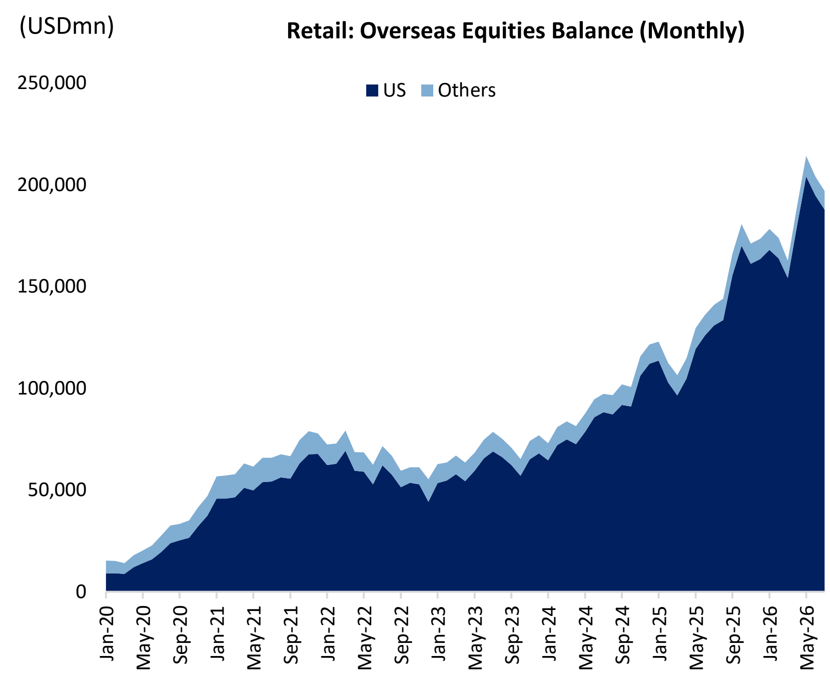
Retail Investors Should Continue to Balance Between Domestic and Overseas Positions

Retail Investors: Monthly Net Buying of US Equities



Source: SEIBRO, Morgan Stanley Research, Data as of July 10, 2026

Retail Investors: Overseas Equity Holdings

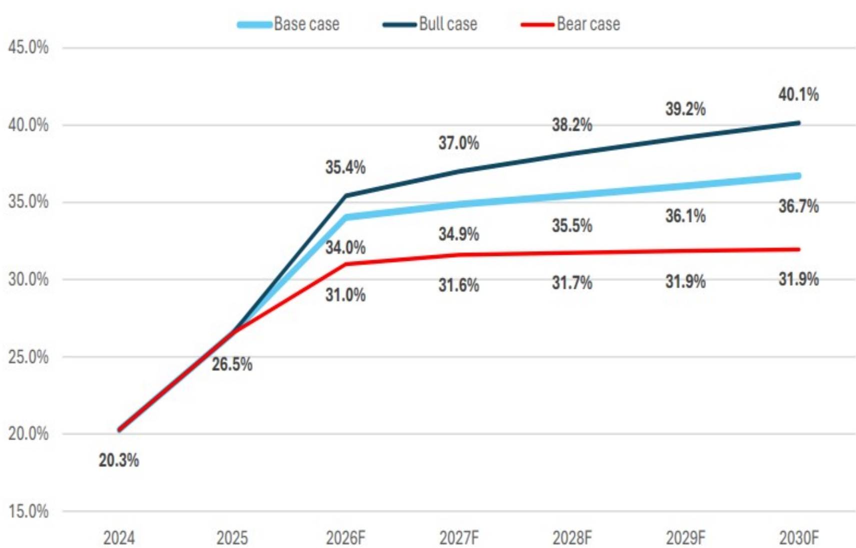


Source: SEIBRO, Morgan Stanley Research, Data as of July 10, 2026

Will Retail Investors Stick to Equities?

Equity Penetration Depends on Flow and Market Cap Trends

Household Equity Holdings – Base, Bull, and Bear Cases



Source: Morgan Stanley Research; (F) estimates

Korea – Aggregate Household Financial Holdings Trend and Forecast (Base Case)

(KRW in trillions)	2023	2024	2025	2026F	2027F
Total household financial holdings	**5,209.4**	**5,472.6**	**6,201.9**	**7,256.8**	**7,656.4**
Currency & Deposits	2,414.2	2,536.7	2,676.5	2,730.0	2,811.9
Insurance & Pension Reserves	1,457.6	1,579.0	1,650.3	1,815.3	1,906.1
Securities other than Shares	168.6	199.6	182.1	192.1	217.1
Equities & Equivalent	**1,127.9**	**1,109.3**	**1,644.3**	**2,469.3**	**2,669.3**
Others	41.1	48.1	48.7	50.0	52.0

(%)	2023	2024	2025	2026F	2027F
Currency & deposits	46.3	46.4	43.2	37.6	36.7
Insurance & pension reserves	28.0	28.9	26.6	25.0	24.9
Bond holdings	3.2	3.6	2.9	2.6	2.8
Equities & Equivalent	**21.7**	**20.3**	**26.5**	**34.0**	**34.9**

Source: Morgan Stanley Research; (F) estimates

What to Expect From Capital Market/Governance Reform?
Reform Expected to Continue

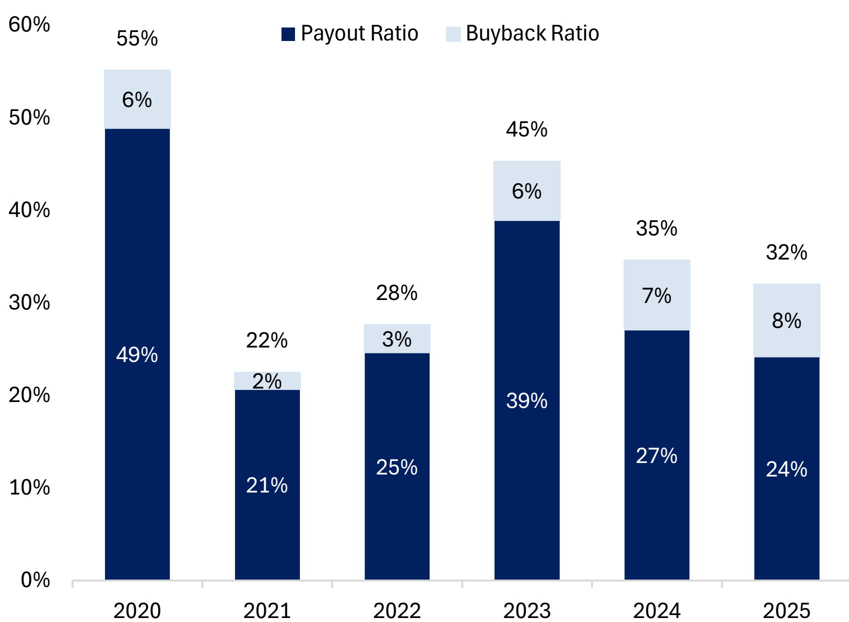
Key Developments and Measures to Look for in 2026

Measures/Events	Remarks	Timeline
2026		
Commercial Code 3.0 - Mandatory treasury cancellation measures	Lawmakers from the ruling party (DPK) proposed multiple amendment proposals to the Commercial Code, which stipulates the mandatory cancellation of treasury shares within a diverse range of periods, but finally the final bill was confirmed. The ruling party's KOSPI 5000 Committee submitted a bill to amend the rules in the Commercial Code related to treasury shares on November 24, 2025. The bill was passed by the National Assembly on February 25, 2026 with the key rules being treasury shares need to be cancelled within 1 year but for existing treasury shares an additional grace period of 6 months will be provided, and exceptions are provided but shareholder approval is needed. Passed by the National Assembly on February 25, 2026.	Promulgated on March 5, 2026
Capital market rule framework upgrade	The previous government announced a proposal for amendments to the Capital Market Act on December 2, 2024 with a focus on changing rules related to M&A and business restructuring transactions to make it less unfavorable for minority shareholders. The new administration is also wanting to make revisions to the Capital Market Act but we need to wait for confirmation of a comprehensive proposal or it could be a case of more piecemeal amendments.	1H26
Initiatives to incentivize KOSDAQ market investment	On December 19, 2025, the FSC announced measures to revitalize the KOSDAQ market, including: (1) Improvement of listing and delisting requirements to enhance market dynamism by facilitating entry for promising firms and ensuring the timely exit of underperforming or non-compliant companies; (2) Improving market credibility through greater institutional investor participation; (3) Clarifying review standards for key market issues and strengthening investor protection; and (4) Enhancing the independence and operational autonomy of the KOSDAQ market department within KRX (Korea Exchange) to encourage proactive efforts.	2026~
Launching of Sovereign Wealth Fund	The government has been discussing the launching of a state-backed strategic investment entity, often referred to as a "Korean version of Temasek (Singapore)", aimed at providing long-term capital to strategic sectors. Compared to KIC - an existing SWF in Korea - the new SWF would likely be more focused on strategic and domestic investment, rather than purely financial or global portfolio diversification. According to the MOEF, initial funding sources might include public funds, government owned assets, or policy finance institutions, rather than foreign exchange reserves. Key sectors/themes in focus would include semiconductors, AI-related sectors, energy transition, healthcare, space, defense and other strategic industries.	2026
Domestic liquidity linked measures	Recently, the government announced several measures to incentivize retail investors to invest in the domestic equity market and to ensure longer-term investment, including: **(1) RIA (Reshoring Investment Account)**: RIA is a policy-driven investment account designed to encourage domestic retail investors to return to Korea's equity market; the account aims to support domestic liquidity and broaden the local retail investor base by offering tax incentives on assets invested through designated accounts. According to the MOEF's tax incentive proposal, retail investors who sell their overseas equity holdings and reinvest the proceeds into domestic equities on a long-term basis are granted one-year tax incentives on disposal gains. The tax incentives on capital gains from overseas equities varies depending on the timing of disposal. For example, investors who repatriate funds in 1Q26 are eligible for a 100% exemption, while those returning funds in 2H26 are eligible for a partial exemption (e.g., 50%) - although the details are yet to be finalized. **(2) ISA (Individual Savings Account)**: The government is likely to raise or even remove the ISA tax-exempt limit from the current W2mn; while also reviewing a proposal to include the National Growth Fund and BDC (Business Development Company) Fund as eligible investment instruments under the ISA scheme. Meanwhile, a policymaker proposed a bill suggesting a higher investment limit for ISAs and lowering tax rates from the current 9% to 5%, in order to incentivize longer-term investment into the domestic equity market through ISAs. **(3) Introducing National Growth Fund and BDC Fund**: The government is also considering granting enhanced tax incenties for investments in policy-driven funds such as the National Growth Fund and BDC Fund than when investing in conventional equity-type funds. Under the proposal, tax benefits would apply to both contributions and dividend income, with dividends from these funds potentially subject to separate taxation at a lower rate. Meanwhile, the government is set to announce additional housing supply measures focused in Seoul metropolitan area in mid-Jan, following previous housing market policies during 2025, to stabilize housing market prices and crack down on speculative demand.	1H26
Anti-Stock Suppression Act	The so-called Anti-Stock Suppression Law refers to a proposed amendment to the Inheritance and Gift Tax Act, which was first introduced in May 2025 by DPK policymaker So Young Lee. The purpose of the proposal is to prevent controlling shareholders from intentionally suppressing a company's stock price ahead of succession in order to lower inheritance or gift taxes. Under the bill, if a listed company's PBR is below 0.8x, the stock would not be valued at market price for inheritance tax purposes but instead be assessed using a method similar to unlisted companies, with a minimum valuation floor at 0.8x PBR to eliminate incentives for artificial price suppression.	2026

Source: Morgan Stanley Research.

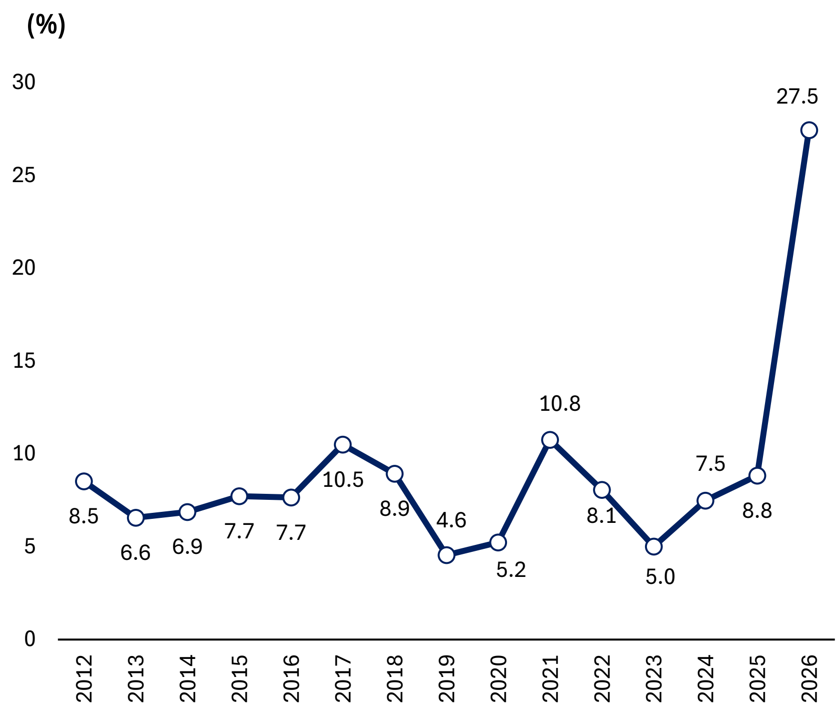
What to Expect From Capital Market/Governance Reform?
ROE on Upward Climb But Need to See What is Sustainable Level; TSR Should Improve

KOSPI Annual Total Shareholder Return Trend



Source: WiseFN, KRX, Morgan Stanley Research

KOSPI Annual ROE Trend



Source: WiseFN, Morgan Stanley Research, E=WiseFN Consensus Estimates

What to Expect From Capital Market/Governance Reform?

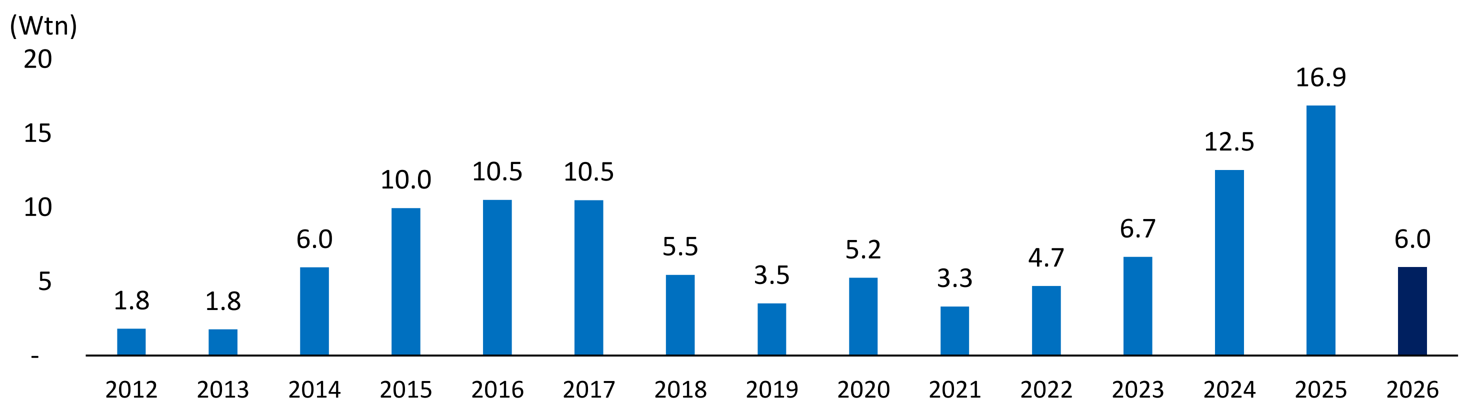
Pro-active Capital Management Is a Key Factor; Rising Buyback Trend in Recent Years

Korea Still Low Compared to Peers on Capital Management

Dividend Payout

Year	MSCI Korea	MSCI Japan	India	China	AxJ	EM	DM	Europe	USA	Australia
2017	16.1%	30.7%	29.7%	29.9%	33.4%	34.0%	43.8%	55.0%	38.6%	73.8%
2018	20.3%	29.3%	32.5%	30.1%	35.1%	35.8%	40.0%	53.3%	33.9%	75.4%
2019	32.9%	35.1%	36.3%	29.5%	39.3%	40.4%	42.6%	55.9%	36.2%	81.0%
2020	33.6%	49.3%	37.4%	27.9%	38.4%	40.0%	48.3%	62.5%	41.1%	68.1%
2021	21.5%	35.2%	33.1%	27.5%	34.8%	37.4%	36.5%	48.3%	30.0%	74.1%
2022	24.0%	33.1%	33.1%	29.3%	36.3%	39.7%	35.3%	42.9%	30.2%	67.4%
2023	36.9%	34.9%	32.3%	27.1%	37.8%	39.7%	37.3%	46.0%	31.7%	66.9%
2024	24.2%	35.1%	31.7%	28.6%	35.5%	37.8%	37.4%	48.3%	31.6%	69.5%
2025	20.7%	37.2%	33.6%	29.0%	35.8%	37.7%	36.1%	49.9%	29.4%	68.8%

Share Buybacks



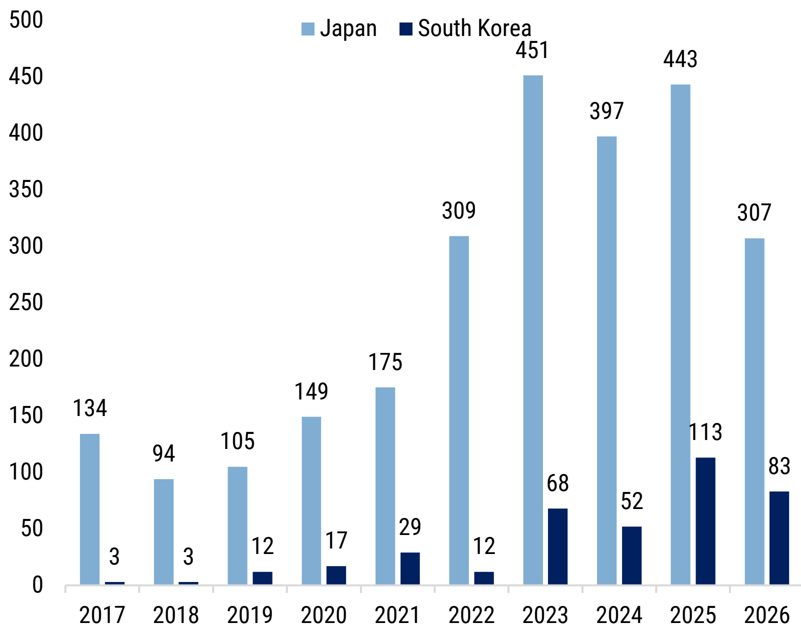
Source: Refinitiv, KRX, Morgan Stanley Research.

What to Expect From Capital Market/Governance Reform?

Corporate Execution Is Key; Reform Policy Push Making Key Stakeholders More Active

Japan vs. Korea Shareholder Proposals

Total Number of Shareholder Proposals



Source: Bloomberg, Morgan Stanley Research. Updated as of July 10, 2026.

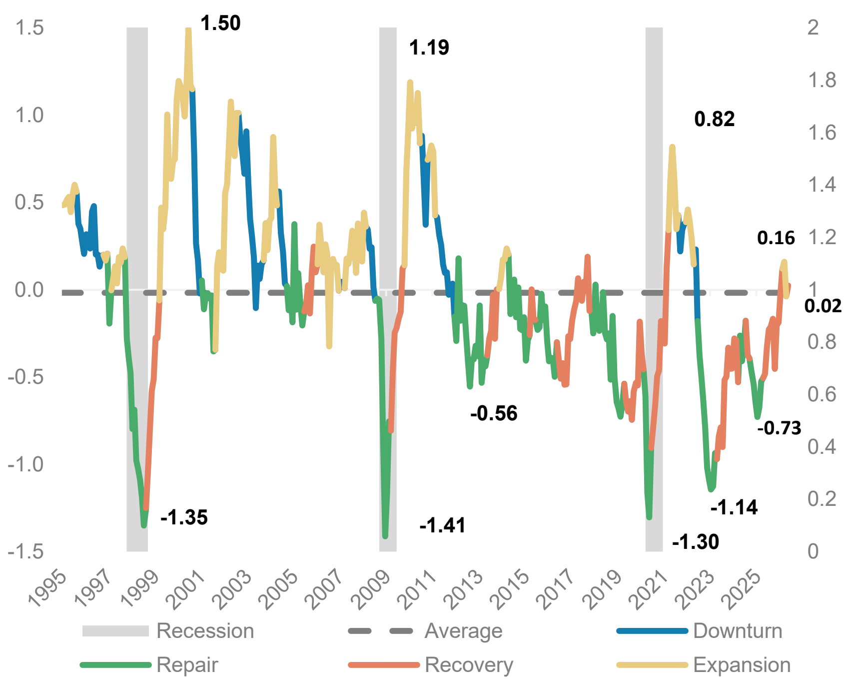
Korean Conglomerates - What Factors to Focus on

	Governance momentum	Ownership structure	Business portfolio	Dividend Payout (2026~2027)	Share Buybacks (2026~2027)	Stakeholder Actions
Hanwha	Positive	Yes	Yes	Modest upside	Unlikely	No
SK	Positive	No	Yes	Flat	Uncertain	Possible
Lotte	Neutral	No	Yes	Significant downside	Unlikely	Yes
LG	Neutral	No	Yes	Modest upside	Uncertain	No
Hyundai Motors	Positive	Yes	Yes	Modest upside	Likely	Yes
Samsung	Neutral	Possible	Yes	Modest upside	Only Samsung Elec.	Yes
Kakao	Neutral	No	Yes	Flat	Uncertain	No
Doosan	Neutral	No	Yes	Flat	Unlikely	No
Celltrion	Neutral	Yes	No	Flat	Uncertain	No
CJ	Neutral	No	No	Modest downside	Unlikely	No
Shinsegae	Neutral	No	No	Significant downside	Unlikely	No

Source: Hankyung (August 25, 2025), WiseFN, Morgan Stanley Research.

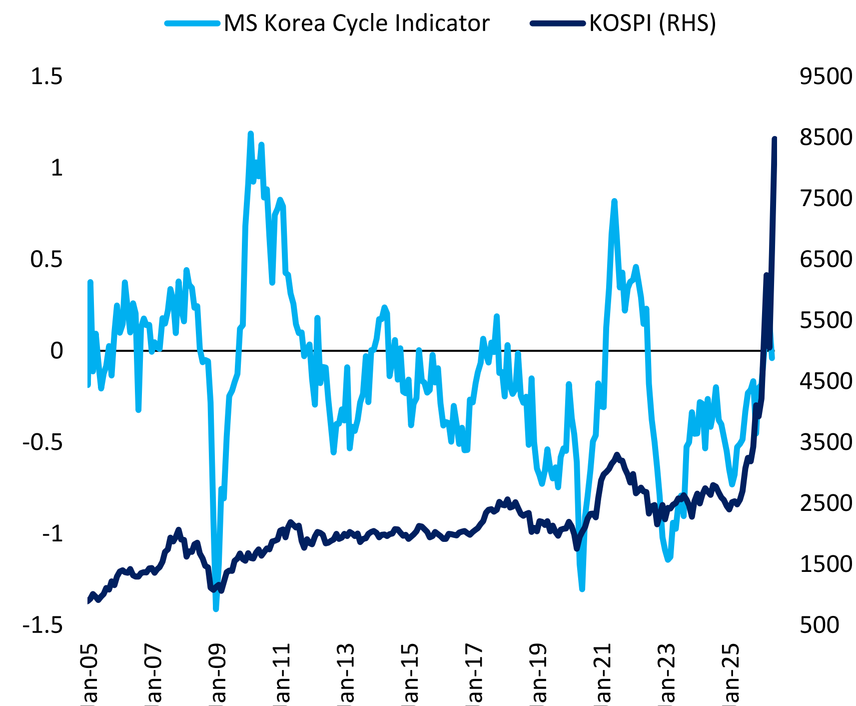
Where Are We in the Cycle?
Back to 2012~2019 Cycle or Pushing Up?

Korea Cycle Indicator



Source: WiseFN, Bloomberg, Morgan Stanley Research.

Korea Cycle Indicator vs. KOSPI

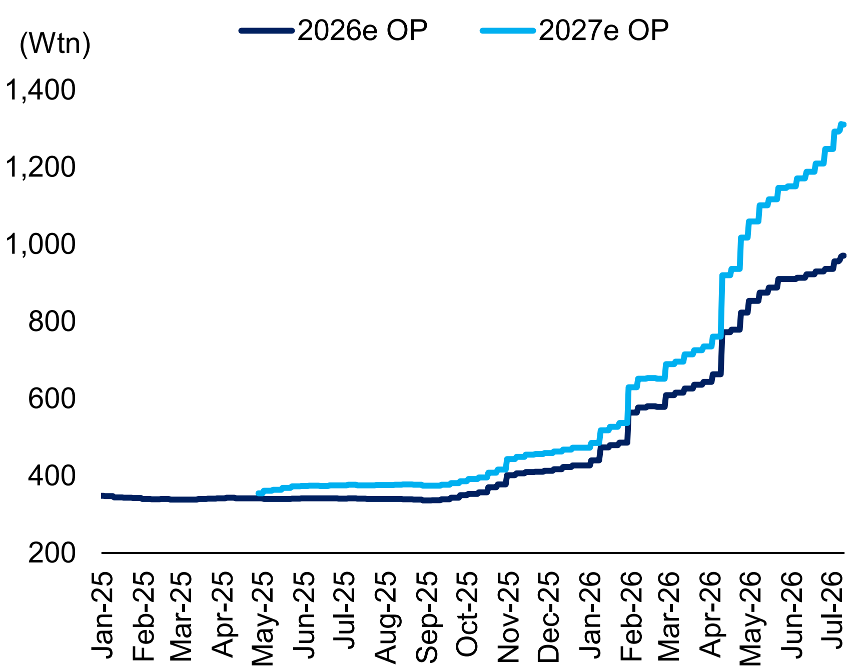


Source: WiseFN, Bloomberg, Morgan Stanley Research.

Where Are We in the Cycle?

Consensus Earnings for 2026-27e Continue To Be Adjusted Up; Monitoring Rate of Change

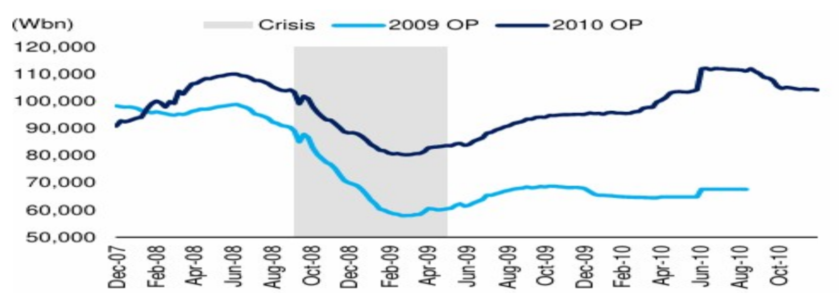
KOSPI Consensus OP Trend



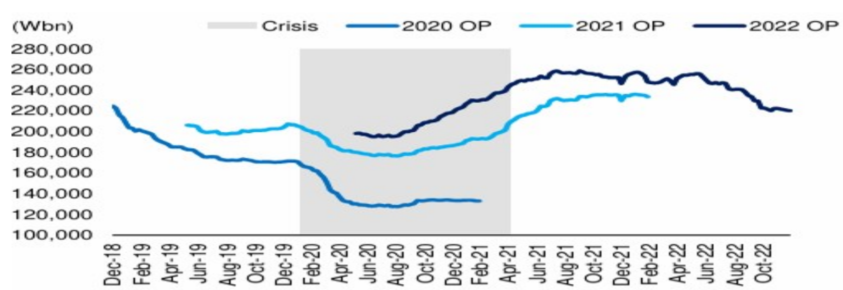
Source: WiseFN, Morgan Stanley Research. E = WiseFN consensus estimates.

Consensus OP Revision Trend

GFC Period



COVID Period



Source: WiseFN, Morgan Stanley Research. E = WiseFN consensus estimates.

Where Are We in the Cycle?

Valuations Still Low vs. Historical Levels and Global Peers

KOSPI: Korea Sub-sector: Fwd P/E Comparison with Global Peer

MSCI Korea vs. MSCI World: 12m Fwd P/E Discount

	Energy	Materials	Industrials	Cons. Discr	Cons. Stpls	Health care	Financials	IT	Comm. Svcs	Utilities
2010	-3.8%	-23.5%	-19.0%	-33.0%	-5.3%	46.4%	-10.9%	-23.2%	-28.4%	-6.1%
2011	-34.4%	-18.8%	-23.0%	-35.4%	-1.7%	50.5%	-23.7%	-14.3%	-27.5%	11.2%
2012	-12.9%	-16.9%	-14.3%	-50.1%	5.6%	67.9%	-27.1%	-31.1%	-27.1%	52.4%
2013	-23.5%	-18.7%	-20.3%	-54.9%	-1.6%	-16.9%	-16.5%	-48.6%	-37.5%	-32.2%
2014	-14.9%	-27.0%	-21.2%	-58.0%	-3.7%	-19.9%	-20.4%	-30.3%	-23.8%	-77.5%
2015	-46.8%	-27.7%	-9.0%	-52.8%	10.1%	94.5%	-27.3%	-39.0%	-35.5%	-61.4%
2016	-63.8%	-33.2%	-29.0%	-53.3%	-11.4%	201.5%	-27.2%	-36.1%	-23.1%	-70.0%
2017	-55.4%	-38.0%	-33.9%	-49.0%	-2.0%	277.7%	-33.7%	-60.8%	-44.3%	-58.7%
2018	-30.0%	-25.7%	-20.8%	-36.1%	1.1%	413.3%	-32.3%	-54.5%	10.3%	7.7%
2019	-37.0%	-31.3%	-37.7%	-51.7%	-14.4%	259.7%	-43.4%	-35.5%	28.6%	-19.6%
2020	20.8%	2.5%	-38.6%	-64.9%	-19.2%	243.2%	-55.5%	-46.6%	12.1%	-41.3%
2021	6.7%	-34.0%	-53.1%	-66.2%	-35.5%	107.7%	-56.3%	-56.5%	34.4%	NA
2022	-25.8%	-20.0%	-42.9%	-65.5%	-30.8%	126.4%	-55.8%	-5.5%	39.6%	NA
2023	-30.4%	-24.3%	-24.3%	-72.5%	-30.7%	155.2%	-62.2%	-34.2%	20.2%	-29.0%
2024	-17.9%	-18.4%	-45.4%	-79.3%	-37.2%	140.7%	-58.2%	-70.7%	-8.0%	-86.3%
2025	19.5%	0.4%	-22.8%	-72.5%	-14.2%	126.6%	-46.2%	-63.1%	-16.8%	-80.9%
Jul-26	18.4%	-6.4%	-25.0%	-71.5%	-16.4%	135.4%	-45.3%	-61.2%	-12.3%	-80.1%

MSCI Korea vs. AxJ: 12m Fwd P/E Discount

(Period-end)	Energy	Materials	Industrials	Cons. Discr	Cons. Stpls	Health care	Financials	IT	Comm. Svcs	Utilities
2010	-5.3%	-15.8%	-12.2%	-25.0%	-16.0%	-23.4%	-23.8%	-18.9%	-29.0%	-18.6%
2011	-28.3%	-12.9%	-16.9%	-22.6%	-14.8%	-2.0%	-25.0%	-26.6%	-31.2%	14.9%
2012	-13.6%	-15.9%	-14.4%	-33.1%	-15.3%	1.1%	-25.3%	-23.1%	-36.0%	49.9%
2013	-5.4%	-12.6%	-7.7%	-34.6%	-17.3%	-32.8%	5.4%	-30.6%	-30.0%	-28.0%
2014	18.0%	-15.7%	-6.2%	-32.9%	-9.5%	-36.0%	0.1%	-14.1%	-24.0%	-67.3%
2015	-9.7%	-16.3%	11.6%	-36.0%	3.0%	39.8%	-5.0%	-29.9%	-33.3%	-40.7%
2016	-37.1%	-20.9%	-3.7%	-41.3%	-12.3%	104.6%	-4.0%	-25.7%	-23.6%	-57.3%
2017	-30.8%	-21.3%	-8.6%	-43.1%	-15.6%	129.6%	-18.9%	-48.5%	-47.3%	-49.7%
2018	-19.6%	-12.2%	-2.6%	-40.6%	-20.9%	181.0%	-27.3%	-32.1%	-15.6%	13.9%
2019	-19.5%	-17.5%	-6.7%	-54.3%	-23.0%	94.0%	-32.8%	-16.5%	10.9%	2.1%
2020	60.8%	6.5%	4.6%	-61.8%	-32.1%	80.0%	-45.3%	-22.0%	10.1%	-19.7%
2021	-8.6%	-22.1%	-17.7%	-59.0%	-41.0%	8.1%	-40.7%	-26.8%	14.1%	NA
2022	-35.1%	-19.0%	-14.4%	-65.9%	-38.4%	29.9%	-44.7%	25.9%	-0.9%	NA
2023	-30.8%	-22.0%	9.0%	-58.1%	-39.1%	59.7%	-43.9%	-0.8%	36.0%	-12.5%
2024	-8.8%	-23.3%	-18.4%	-64.1%	-39.8%	44.7%	-41.2%	-48.7%	6.1%	-82.6%
2025	28.2%	-9.5%	4.0%	-60.3%	-15.8%	35.4%	-29.3%	-39.8%	-2.7%	-72.8%
Jul-26	**-24.2%**	**-1.6%**	**-19.3%**	**-27.9%**	**-9.1%**	**15.7%**	**-14.6%**	**-43.3%**	**6.9%**	**-74.4%**

Source: WiseFN, Morgan Stanley Research. Note: Data as of Jul-2026

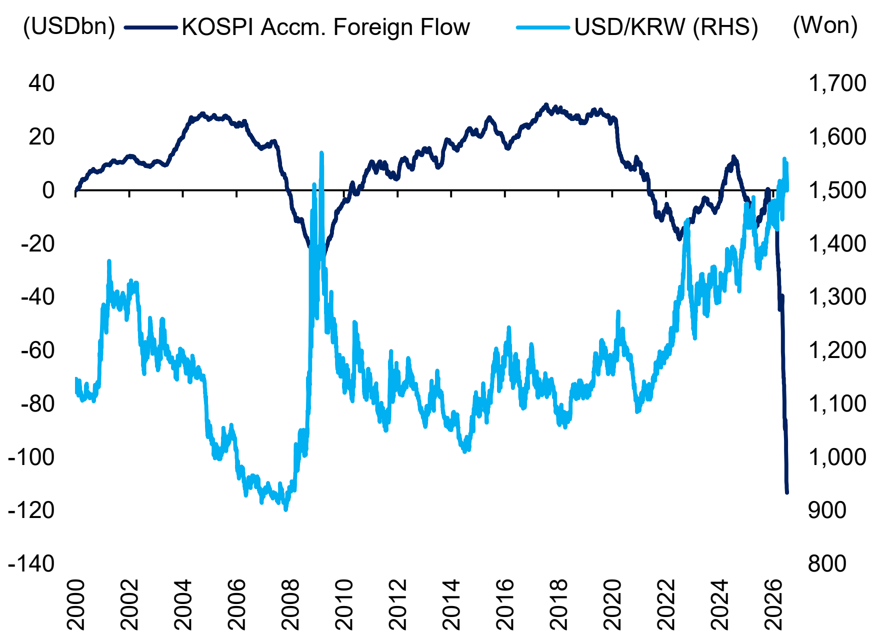
MSCI Korea sub-sector: Current vs. Historical 12m Fwd P/E Comparison

MSCI Korea 12m Fwd P/E	As of Jun-26 (x)	Change (%)			vs. Historical Avg.		
		3M	6M	12M	vs. 3yr (2023-2025)	vs. 5yr (2021-2025)	vs.10yr (2016-2025)
MSCI Korea	7.2	**-7%**	**-28%**	**-28%**	**-26%**	**-30%**	**-31%**
Energy	8.1	-51%	-51%	-52%	-25%	-15%	-19%
Materials	13.2	-15%	-20%	-13%	-1%	15%	18%
Industrials	13.7	-8%	-19%	-16%	0%	16%	17%
Capital goods	13.8	-8%	-21%	-21%	-3%	4%	12%
Transportation	10.0	-3%	12%	21%	18%	47%	6%
Cons. Disc.	9.4	10%	49%	96%	78%	57%	27%
Auto & Components	8.9	6%	47%	100%	79%	60%	34%
Consumer Durables & Apparels	14.9	46%	64%	73%	92%	83%	47%
Cons. Stpls.	15.6	-9%	-5%	11%	14%	14%	0%
Food, Beverage & Tobacco	13.8	-5%	-4%	11%	16%	21%	14%
Household Personal Products	20.2	-17%	-4%	-9%	3%	-3%	-15%
Healthcare	29.5	-18%	-29%	-34%	-31%	-29%	-44%
Pharmaceuticals & Bio	29.5	-18%	-29%	-34%	-31%	-33%	-46%
Financials	8.4	1%	15%	23%	50%	59%	36%
Banks	7.6	-1%	9%	19%	43%	55%	36%
Insurance	13.6	35%	59%	79%	114%	96%	61%
Financial Servcies	6.8	-29%	-9%	-21%	8%	15%	-7%
IT	6.4	-1%	-30%	-32%	-44%	-50%	-45%
Technology Hardware & Equipment	6.1	-18%	-41%	-48%	-51%	-54%	-49%
Semiconductors & Equipment	6.8	36%	-10%	6%	-25%	-24%	-22%
Comm. Svcs.	14.7	-11%	-16%	-37%	-21%	-29%	-22%
Telecom Services	13.6	9%	44%	42%	59%	71%	53%
Utilities	3.0	7%	0%	10%	-39%	-39%	-62%

Source: Datastream, Morgan Stanley Research. Note: Data as of Jun. 2026

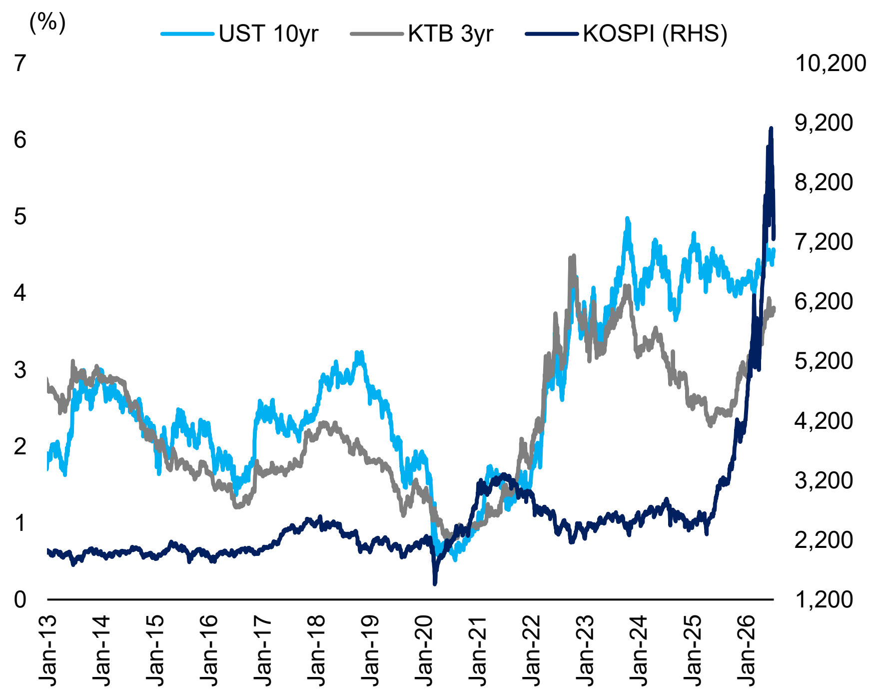
Where Are We in the Cycle?
Volatility Remains Higher on FX Uncertainty

KOSPI: Foreign Funds Flow vs. USD/KRW Rate



Source: WiseFN, FactSet, Morgan Stanley Research.

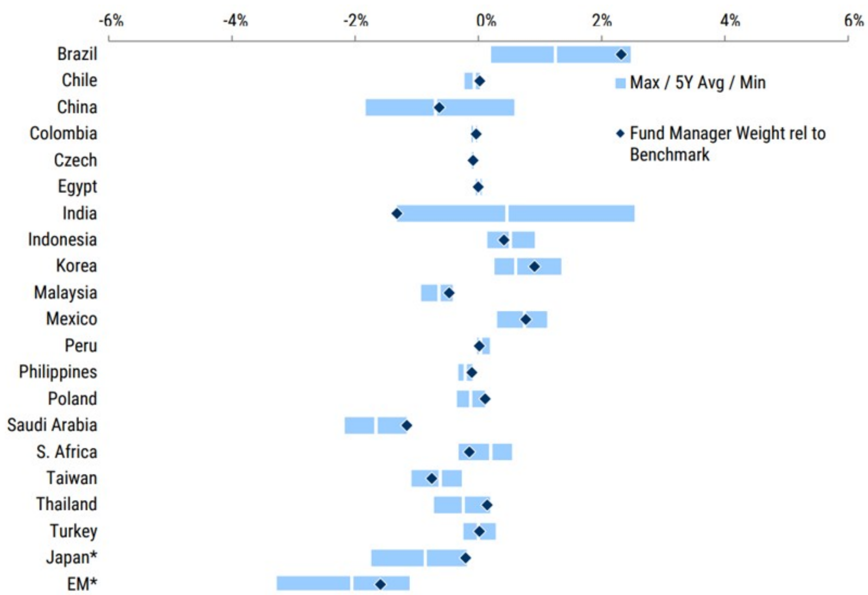
KOSPI vs. UST 10-yr Yield and KTB 3-yr Yield



Source: FactSet, Morgan Stanley Research.

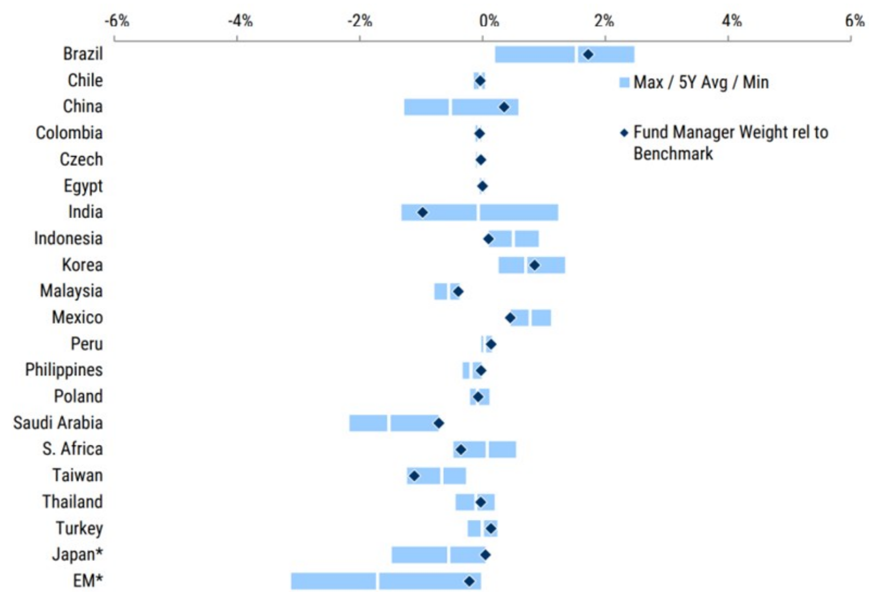
Where Are We in the Cycle?
Volatility Remains Higher on FX Uncertainty

GEM Fund Managers' Market Allocation vs. MSCI EM (May 2025)



Source: EPFR Global, Morgan Stanley Research. Note: Data as of May 2025. * Japan and EM fund weight in global funds.

GEM Fund Managers' Market Allocation vs. MSCI EM (May 2026)



Source: EPFR Global, Morgan Stanley Research. Note: Data as of May 2026. * Japan and EM fund weight in global funds.

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(as of June 30, 2026)

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	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
Stock Rating Category	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1544	42%	453	49%	29%	757	44%
Equal-weight/Hold	1577	43%	390	42%	25%	769	44%
Not-Rated/Hold	3	0%	1	0%	33%	1	0%
Underweight/Sell	544	15%	89	10%	16%	204	12%
Total	3,668		933			1731	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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Overweight (O). The stock's total return is expected to exceed the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Equal-weight (E). The stock's total return is expected to be in line with the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Not-Rated (NR). Currently the analyst does not have adequate conviction about the stock's total return relative to the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U). The stock's total return is expected to be below the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

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Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

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Heewon Choi		
Doosan Enerbility (034020.KS)	O (01/14/2026)	W73,200
Joon Seok		
Hanwha Aerospace (012450.KS)	O (07/25/2025)	W936,000
Korea Aerospace Industries Ltd (047810.KS)	E (01/16/2026)	W143,500
LIG Defence & Aerospace Co Ltd. (079550.KS)	E (07/25/2025)	W725,000

Samsung E&A Co Ltd (028050.KS)	O (02/01/2023)	W41,100

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